# Capital vs Revenue Expenditure

benefit for years, or just this year?

Fundamentals of Financial Accounting

**In simple words** *Spending that gives benefit for many years is capital; spending that is used up this year is revenue.*

## 1 Capital Expenditure

Spending that acquires or improves a fixed asset or increases earning capacity, with benefit beyond one year. Shown in the Balance Sheet.

*Asset side, not P&L*

## 2 Revenue Expenditure

Spending to run the business and maintain earning capacity, with benefit used up in the current year. Charged to Trading or P&L Account.

*Matches current year's income*

1. Capital expenditure adds to the cost of an asset, including freight, installation and erection charges.
2. Revenue expenditure covers repairs, wages, rent, salaries and depreciation.
3. Wrongly treating capital as revenue understates profit and assets; the reverse overstates profit.
4. Test: does it create or improve an asset's life or capacity, or only maintain it?



*Swipe for the summary* →

Rahul KP
@cacmagyan



# THE QUICK COMPARISON

Capital vs Revenue Expenditure

*same payment, different test*

| BASIS | CAPITAL | REVENUE |
|---|---|---|
| *Benefit* | More than one year | Current year |
| *Shown in* | Balance Sheet | Trading / P&L A/c |
| *Example* | Machine purchase, installation | Repairs, wages, rent |
| *Effect on profit* | Not charged at once | Reduces profit of the year |
| *Purpose* | Acquire or improve asset | Maintain business or asset |

**SAME MACHINE, TWO TREATMENTS!** Buying a machine is capital, but ordinary repairs on it are revenue; the purpose of spending decides the class.

*Swipe for a memory trick* ⟶

RAHUL KP
@cacmagyan



# STUDY TRICK

Capital vs Revenue Expenditure

*ask one question first*

## CAPITAL = CEMENT THE ASSET

If the spending is cemented into the asset (buy, install, extend, improve), it is capital. If it only keeps the asset running (repair, paint, oil), it is revenue.

## HOW TO ATTEMPT IT

1 Read what the payment was for → 2 Does it add or improve the asset? →

3 Yes: capitalise, add to asset cost → 4 No: charge to P&L or Trading A/c

→ 5 Check for related items (freight, fees)

### EXAM TIP

Freight, installation and legal fees on buying an asset are capital; ordinary repairs and renewals to maintain it are revenue.

### DOUBT BUSTER

*Is a repair always revenue?* No. Repairs at purchase to make a second-hand asset usable are capital. Ordinary repairs that only maintain the asset are revenue.

*Swipe for common mistakes* →

RAHUL KP
@cacmagyan



# COMMON MISTAKES

Capital vs Revenue Expenditure

*small slip, wrong profit*

✗ Treating wages paid for installing a new machine as revenue

✓ Wages for installing a new machine are capital and added to the machine's cost.

✗ Treating all repairs as revenue

✓ Repairs to make a newly bought second-hand asset fit for use are capital.

✗ Charging the purchase of furniture to Purchases A/c

✓ Furniture is a fixed asset, so it is capital and goes to Furniture A/c.

✗ Thinking big amount means capital

✓ Nature and purpose decide, not size; a large repair bill to maintain an asset is still revenue.

**TOMORROW'S CMA CAT MCQ TESTS THIS!** Revise it tonight, then try the MCQ.

*Save this for revision!*

RAHUL KP
@cacmagyan

